

BEFORE THE FEDERAL MARITIME COMMISSION

Docket No. 24-19

PELTON INTERACTIVE, INC.

v.

FLEXPORT INTERNATIONAL LLC

**RESPONDENT’S RESPONSE TO COMPLAINANT’S MOTION FOR MODIFICATION
OF THE DOCUMENT PRODUCTION DEADLINE**

COMES NOW, Respondent, Flexport International LLC, by and through its undersigned counsel, and pursuant to the Order dated December 13, 2024 [Doc. 24] and files this, its Response to Complainant’s Motion For Modification of the Document Production Deadline and in support thereof states as follows:

I. Preliminary Statement.

Flexport would note at the outset that it agrees that the parties would benefit from a video status conference to address several issues. That being said, Flexport submits the instant response to address the misrepresentations set forth in the motion.

Flexport wants to make clear that the only reason it opposes Peloton’s request for relief is due to the prejudice which it has incurred – and will continue to incur – as a direct result of the gamesmanship by Peloton’s counsel and their continuous outright misrepresentations to the Commission.

Flexport also wants to make clear that the multiple delays in this litigation have been caused exclusively by Peloton and its counsel, rather than Flexport, as Peloton has misrepresented. Having directly caused such delays, Peloton should not be granted additional time to the prejudice of Flexport.

Respectfully, the Commission's Order awarded relief to Peloton based upon Peloton's misrepresentations in its Motion, both with respect to the applicable deadline for production and Flexport's willingness to meet and confer. The Order expressly adopted these misrepresentations in granting the relief sought:

Respondent Flexport International LLC "declined to hold a meet and confer on December 12, and after a number of email exchanges, responded by email that its position was that there was no good faith basis for the motion and no good faith effort to confer on the motion."

The Order then noted that a response to a non-dispositive motion is typically due within 7 days, but since Peloton did not file in sufficient time, Flexport must respond in less than one business day to the motion, which happens to coincide with the day that Flexport is in mediation with CADRs on another matter. The Order then essentially granted the relief requested by Peloton – that it could continue to produce documents after the deadline has passed.

Thus, as a reward for its tactics, culminating in its 11th hour filing, Flexport is forced to prepare a response to an already-granted motion with barely any time to prepare same. Flexport has already been prejudiced as a result of this motion and the Commission's acceptance of the outright misrepresentations made therein.

Specifically, the Order is based, in large part, on the representation by Peloton that Flexport refused to meet and confer as to the relief sought by Peloton. Indeed, the Order makes multiple references to the parties needing to confer to avoid motion practice – and rightly so.

But what was missing from Peloton's motion are two key facts: First, that the response deadline to discovery was not Monday, December 16, but rather Friday, December 13. Second, the only request to meet and confer came at 6:15 pm on Wednesday, December 11, 2024 – two days before the deadline, and a day and a half before the motion was filed.

II. Discussion.

a. The correct chronology of events and deadlines.

Peloton attempts to convince the Commission that it reached out to Flexport to meet and confer to extend the documents production deadline of December 16 and that Flexport refused to do so.

At issue here, however, is not the documents production deadline, but rather the deadline for each of the parties to respond to the other party's requests for production – which was **Friday, December 13, 2024.**

That is, the parties each served written discovery on November 13, 2024 and expressly provided therein that the documents requested must be produced within 30 days in accordance with both the Commission Rules and the Federal Rules.

At no time did the parties ever discuss extending this deadline. To be crystal clear, at no time – including to this day – did Peloton ever request an extension of time to respond to the discovery requests.

Instead, at 6:15 PM on Wednesday, December 11 – a mere 2 days before the response deadline – Peloton asked to meet confer the next morning for its motion to extend the deadline for complete document production as set forth in the Commission's Scheduling Order. Peloton then waited until midnight of the day the discovery was due before filing its motion.

To be clear, when Peloton reached out to Flexport's counsel Wednesday evening, it was well aware that Flexport was incredibly busy gathering nearly 40,000 documents to respond to Peloton's discovery requests which were due that Friday.

Peloton states in its motion that Flexport refused to meet and confer. This is an absolute lie. The undersigned promptly responded that he was incredibly consumed with preparing the

response to Peloton's discovery requests and that he would advise as to his availability later in the day.

Specifically, the undersigned advised:

Hi Carrol,

I will need to get back to you about availability this afternoon. As I am sure you are aware, we are busy gathering the voluminous documents to respond to Peloton's discovery requests. Respectfully, requesting this meet and confer at 6:15 day before the motion is to be filed is not conducive to having a good faith discussion as required. There is absolutely no reason why this request could not have been made much, much earlier.

I would also note that the responsive documents are due tomorrow, not Monday. Based upon the below, and Chris' representations to CADRS, I am under the impression that Peloton does not intend to provide documents by the deadline set forth in the discovery requests. Please confirm in this regard.

Peloton's counsel responded – four hours later – only that she disagreed with both statement – that the document production was due on Friday and that the request could have been made earlier. The undersigned then asked counsel to advise as to the basis for the position that the documents were not due on Friday December 13 as set forth in both parties' requests for production.

An hour later, counsel responded only that they disagreed – without providing the basis. The undersigned immediately responded, again noting that he was diligently working to comply with the discovery requests by the deadline as set forth in Peloton's requests for production and the Commission's Rules of Procedure – and again requesting that the basis of Peloton's position be provided. The undersigned also pointed out that the requests for production had been served 29 days prior, and the Commission's scheduling order was filed before that, and, as such, there was no legitimate reason why this request came the day before the documents were due. The

undersigned further pointed out that the documents requested should already have been in Peloton's possession and reviewed before the complaint was filed. Finally, the undersigned stated that Peloton should indicate in its motion that Flexport opposes the relief since there was no good faith basis for same and no good faith effort to confer on same.

Three hours later, counsel for Peloton responded to advise as to the basis of their position as follows:

“we disagree with your statement that the documents are due to be filed on Friday. The November 8, 2024 Scheduling Order by the Presiding Officer states “Complete Document Production” by Monday, December 16. Our understanding was that this modified the 30 days stated in the discovery requests ordered to be served on December 13. We direct your attention to **§ 502.146** which provides for responses within 30 days after being served, but also provide that “[a] shorter or longer time may be ... **ordered by the presiding officer**. (emphasis added). That last emphasized note is exactly what the Presiding Officer did by setting the Monday, December 16 date for completion of document production.”

In short, counsel for Peloton ignored the clear language of both Flexport's requests for production and 46 CFR § 502.146 and just unilaterally determined that the Presiding Officer, without any mention of requests for production, was extending the response deadline of same by including a deadline for all document production in the Scheduling Order.

To be clear, it is Peloton's position that the deadline set for all document production in the Scheduling Order was a blanket extension of time for all requests for production. Notwithstanding the fact that this flies in the face of both the Commission's Rules and the Federal Rules (as well as logic and standard litigation practice), this position is undermined by two key points. First, it was counsel for Peloton who included this separate deadline in its proposed discovery schedule. [Doc. 17]. Second, Peloton, in its requests for production, Peloton had also put a deadline for response as Friday, December 13, 2024.

When asked about this, counsel for Peloton advised that this was a “mistake”. Disregarding the veracity of this statement for a moment is the inescapable fact that at no time did Peloton ever advise that it was not producing the documents by the deadline set forth in the requests for production. The undersigned only learned of this fact by implication on Wednesday night – which was not even confirmed until the following night.

Meanwhile, Flexport was working overtime to diligently comply with the discovery requests by December 13, since there was never any indication whatsoever that Peloton did not expect any documents to be produced until December 16.

Peloton notes that the urgency for its motion was “elevated” when “it became apparent that counsel for Flexport was of the view the document production was due on December 13, 2024. [Motion at p. 2]. However, the “urgency” of the motion was that it was being filed on the morning of the deadline and clearly could have been addressed weeks prior. Further, the deadline should have been apparent to counsel for Peloton – as one of the largest law firms in the country – since that was the date that responses to requests for production are due, as set forth in the Rules and in both parties’ requests for production.

Peloton goes on to state: “Peloton outside counsel prepared an ESI protocol, which included proposed search terms and the use of AI and/or search terms in production to best filter relevant results. Skopec Decl. at ¶ 5. However, Flexport declined to respond to the request to address a joint ESI protocol.” [Motion at page 4].

However, the referenced email referenced only “document discovery protocols”. No ESI Protocol, search terms, or use of AI was even mentioned, let alone attached. There was no request to address a “joint ESI protocol”, which counsel for Peloton now claims the undersigned declined to respond to.

It is also noted in the motion that the review of the documents by Peloton did not begin until December 2, 2024. [Doc. 23 at p. 5]. Thus, Peloton began its review 19 days after the requests for production were served.

Notably, Peloton also states that it had “about 12 days” to review 33,350 documents, but it did not have the ability to produce any documents by December 16, let alone the 13th. [Motion at p. 6].

In contrast, Flexport promptly and diligently began its review of documents so that it could meet the December 13 deadline. In total, Flexport reviewed **476,074** documents (compared with Peloton’s 33,350) and was able to produce its full production of **32,933** ESI documents, consisting of **106,966** pages. In addition, Flexport produced approximately 3,000 additional pages of shipment documents and multiple spreadsheets, including a **94,193** line spreadsheet detailing each status update for each and every shipment at issue in this litigation.

It is noted that Flexport is a privately-held corporation and the undersigned is a member of a 5-attorney law firm.

Peloton, meanwhile, is a publicly-traded company which reported a total revenue of \$2.7 billion in 2024. <https://investor.onepeloton.com/financial-information/annual-reports>.

Peloton’s attorneys, meanwhile, are members of a firm with 2,200 attorneys in 40 countries. <https://www.hklaw.com/en/>. Further, the firm proudly proclaims its e-discovery capabilities on its website:

Holland & Knight has a dedicated E-Discovery Team to help you manage those risks intelligently and efficiently. We will guide you through the critical early e-discovery process, and follow through by cost-effectively managing the collection and production of ESI. In addition, our e-discovery attorneys work closely with our Global Compliance Team to design and implement records management programs. Smart records management

helps reduce data management and storage costs and, at the same time, achieve e-discovery readiness. With this coordinated approach, we can help you reduce risk and ease the cost and burden of future e-discovery activities.

<https://www.hklaw.com/en/services/practices/litigation-and-dispute-resolution/litigation-and-dispute-resolution>

Yet, Peloton complains that it did not have the ability to produce any documents by December 16, let alone the 13th. [Motion at p. 6].

But the point is – even if that were true, Peloton never advised Flexport that additional time was needed or that an extension should be requested – until the night before it filed its motion.

Again, Flexport wants to be clear – at no time did it refuse to meet and confer or was uncooperative or intractable with respect to an extension. It simply was only asked at the last possible moment when it was in the middle of frantically trying to comply with its discovery obligations.

b. The multiple delays in this litigation caused by Peloton.

Prior to the commencement of this action, Flexport and Peloton had engaged in protracted discussions regarding a resolution of the claims. In the course of these discussions, Flexport repeatedly asked Peloton to clarify what its dispute was. Specifically, Flexport asked Peloton’s counsel to identify what invoices and line items were in dispute, and to advise as to the basis of the dispute. Despite these good-faith attempts, Peloton’s counsel repeatedly ignored these requests and refused to provide any details at all. In the end, Peloton’s counsel merely stated “all of them” with respect to the invoices, without providing any details as to the basis of the dispute.

Flexport received clarification of “all of them” meaning that, without providing a single detail, invoice, fact, or basis for dispute, Peloton wanted a full refund of all D&D charges going back four years. Indeed, after Peloton filed its complaint, its counsel reached out and the

undersigned again reiterated Flexport's request that Peloton identify what the dispute was. Peloton's counsel stated, in essence, that Peloton did not need to provide any further details.

As such, Flexport had no alternative but to file its motion to dismiss on June 17, 2024. [Doc. 10]. The basis of the motion was that Peloton did not identify a single shipment, bill of lading, invoice, or charge that is in dispute; nor did Peloton ever indicate the basis of any claims. No facts. No invoices. No description as to what the dispute was about – aside from mere conclusory statements which mirror the barebones elements of Shipping Act claims.

Peloton disagreed, arguing in its Opposition that “greater detail is not required nor warranted at this stage.” (Doc. 11 at p. 5).

After the Reply to the Motion to Dismiss was filed, on July 18, 2024, in an effort to resolve this matter expeditiously, the undersigned again asked counsel for Peloton as to the details of the claims. Counsel for Peloton's response came 5 days later:

“In regard to Flexport's inability to understand Peloton's claims, we are hard pressed to see what is confusing about the allegations raised.... A charge-by-charge review of invoices is antithetical to Peloton's theory of relief on the meaning of store door obligations it is not required by the FMC.”

Peloton's counsel continued:

“Flexport's complaints are not surprising, Peloton isn't going away, and the ALJ is not likely to dismiss the action outright. **At worst we will be given an opportunity to re-plead and be right back at this position of looking to bring the parties together.**”

The Commission wholeheartedly agreed with Flexport, however. In its Order Deferring Ruling on the Motion to Dismiss, the Commission found that Peloton had failed, in pertinent part, to allege: (a) a chronology of events; (b) details of the shipments at issue, including the containers, invoices and when the claims accrued; (c) what practices were the proximate cause of each claimed loss; and (d) what information was missing on the invoices. [Doc. 13].

Notably, the Order also held that a motion for leave to amend would have been more appropriate for Peloton to have filed. [Doc. 13 at p 2].

Instead, Peloton forced the Commission to Rule on the Motion, then Amended its Complaint anyway – a delay of over 4 months caused entirely by Peloton.

Yet, in its Motion for Modification, Peloton quotes the Commissions Scheduling Order as attributing this delay to Flexport’s Motion to Dismiss only. [Doc. 23 at p. 1].

Peloton deliberately ignores the actual language of the Scheduling Order, which attributed the delay not just to the motion, but also to “subsequent orders and the amended complaint.” [Doc. 19 at p. 1].

Importantly, Peloton still has not provided the details of its claims. Indeed, notwithstanding the fact that Peloton has not produced a single document, its responses to discovery requests are replete with boiler-plate, frivolous objections. Indeed, Peloton’s responses to narrowly-tailored, interrogatories requesting specific information merely make vague reference to its document production – which of course has not been made. As a prime example, Flexport requested that Peloton “State whether You received the OSRA addenda associated with the invoices highlighted in White identified in Flexport’s Exhibit “A” attached to its Answer. If so, for each such Invoice, state the date that each such addendum was received.

Peloton responded as follows:

Response: Peloton objects to this Interrogatory on the grounds that it is vague, overly broad, compound, unduly burdensome, and **harassing**. Peloton further objects to this Interrogatory as overly broad and unduly burdensome in its request for a response on “each” of the 1,807 invoices identified in white in Flexport’s Exhibit “A”. Peloton further objects to this Interrogatory because it requests information in the possession, custody, or control of Flexport. Peloton further objects that Flexport’s Exhibit “A” appears to be a marked up copy of Exhibit “A” from Peloton’s Amended Complaint generated by Flexport counsel for the purposes of this proceeding and therefore is not a true and correct copy or authentic Flexport

company record. Peloton further objects to the extent that this Interrogatory seeks an unduly burdensome compilation, summary or analysis of documents or information.

Subject to and without waiving any of the foregoing objections, Peloton responds that it will answer this Interrogatory by producing relevant documents in its possession, custody, or control pertaining to the OSRA addenda associated with invoices highlighted in white in Flexport's Exhibit "A."

To be clear, Peloton's OSRA-22 claim involves only 19 invoices. All this interrogatory sought is a statement that an addendum was included, and if so, the date. To be clear, only two addenda were issued.

Also to be clear, Peloton asserted similar "responses" to each and every request, including that each was somehow "harassing". Clearly, Peloton provided these responses knowing full well that it would invite – and in fact mandate – a motion to compel. Again – delay after delay – all caused by Peloton.

c. The Prejudice to Flexport.

At all times, Flexport was under the impression – based upon the Rule of the Commission, the Federal Rules, standard litigation practice and the express language of Peloton's requests for production – that documents were to be produced by Friday, December 13, 2024. Without any notice to Flexport, counsel for Peloton unilaterally decided that the deadline to respond to Flexport's discovery requests was instead December 16. At no time did Peloton ever ask for additional time or even make any mention of this fabricated deadline.

Peloton just sat back and let Flexport scramble to comply with the deadline as set forth in Peloton's requests for production.

And Flexport did comply – at considerable cost, including payments to its third-party discovery vendor for expedited service, re-tasking of several employees and attorneys and many, many late nights.

In addition, Flexport is also prejudiced by the fact that Peloton has not only been afforded additional time to gather the documents, but now has the benefit of Flexport's production.

III. CONCLUSION

Based on the foregoing, Flexport respectfully requests that the Motion to Extend be denied and for an award of costs and fees incurred as a result of Peloton's actions.

Dated: December 16, 2024

Respectfully submitted,

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Andrew R Spector, Esq.
Robert M. Borak, Esq
3250 Mary Street, Suite 405
Miami, FL 33133
Tel: (305) 537-2000
Fax: (305) 537-2001
robert.borak@spectorrubin.com
andrew.spector@spectorrubin.com
***Counsel for Respondent,
Flexport International LLC***

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on December 16, 2024 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.